Practice workbook · Internal and external recruitment

Filling a vacancy from inside the business by promotion or from outside by advertising, the benefits and drawbacks of each, and how jobs are advertised.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S2-10

1. Question 3 · part d · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part d only.

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3 (a) Define the term **economies of scale**.

(1)

(b) Outline **one** way quantitative research data might help *Four Fitness* to improve its marketing mix.

(2)

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Figure 3 is an extract of financial information from a *Four Fitness* monthly cash flow forecast.

	€
Cash inflow	60 000
Closing balance	21 500
Cash outflow	48 600

Figure 3

(c) Calculate the net cash flow balance. You are advised to show your working.

(2)

€ .....

1. Question 3 · part d · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part d only.

Four Fitness will need to externally recruit a Marketing Manager when it opens a third gym.

(d) Analyse the benefits to *Four Fitness* of recruiting externally.

(6)

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1. Question 3 · part d · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part d only.

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Gianni Polvani operates *Four Fitness* as a sole trader. He is considering a change to the ownership of the business and is looking at two options:

Option 1: a partnership with three of his employees

Option 2: a private limited company.

(e) Justify which **one** of these two options Gianni should choose.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 1 · part d · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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1 *Lavender*, a Malaysian business, started with bakery, patisserie and takeaway shops. It has now developed into several other businesses. *L.café* is a self-serve café selling a variety of cakes and drinks. *L.bistro* is a casual dining place with a selection of Asian foods. *L.table* is a formal restaurant that uses high quality and organic ingredients.

(Source adapted from: https://www.lavender.com.my/about-us-c1kfx)

(a) (i) Which **one** of the following would be a source of finance that could be used for a cash flow problem?

(1)

Select **one** answer.

- ☒ **A** Venture capital
- ☒ **B** Overdraft
- ☒ **C** Debenture
- ☒ **D** Leasing

(ii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Star
- ☒ **B** Place
- ☒ **C** Maturity
- ☒ **D** Branding

(iii) Which **one** of the following is an example of a fixed cost for *Lavender*?

(1)

Select **one** answer.

- ☒ **A** Flour used in the cakes
- ☒ **B** Packaging used for *Lavender*'s cakes
- ☒ **C** Sugar used in production
- ☒ **D** Rent for *Lavender*'s businesses

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P 5 9 9 2 9 A 0 3 1 6

2. Question 1 · part d · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(iv) When a business employs a new member of staff, part of their induction training would include:

(1)

Select **one** answer.

- ☒ **A** Health and safety
- ☒ **B** Total Quality Management
- ☒ **C** Off-the-job training
- ☒ **D** Government schemes

Lavender buys 150 kilograms (kgs) of yeast from Germany at a cost of €2 250.

The exchange rate is €1 = 5 Malaysian Ringgits (MYR).

(v) How much does *Lavender* pay in MYR for the yeast?

(1)

Select **one** answer.

- ☒ **A** 750
- ☒ **B** 2 250
- ☒ **C** 11 250
- ☒ **D** 337 500

Lavender calculates the cost of the cakes it makes. The weekly fixed cost is 759 MYR. The variable cost per cake is 4.70 MYR.

(vi) Calculate the total cost of selling 1,650 cakes in a week.

(1)

Select **one** answer.

- ☒ **A** 2 413.70
- ☒ **B** 3 567.30
- ☒ **C** 7 755.00
- ☒ **D** 8 514.00

(b) Define the term **short-term finance**.

(1)

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2. Question 1 · part d · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(c) Define the term **above the line promotion**.

(1)

(d) State **one** reason *Lavender* would recruit internally.

(1)

Lavender are offering a discount of 15% if customers buy 25 cakes. Each cake costs 12 MYR.

(e) Calculate the cost of buying 25 cakes. You are advised to show your working.

(2)

MYR

(f) Explain **one** advantage of being a franchisee.

(3)

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P 5 9 9 2 9 A 0 5 1 6

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Turn over

2. Question 1 · part d · 1 mark · Working and answer

Working and answer

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3. Question 2 · part a · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part a only.

2 (a) State **one** reason why *NEXT* would want to promote its own employees.

(1)

(b) State **one** reason why *NEXT* complies with health and safety laws.

(1)

(c) Explain **one** reason why businesses fail.

(3)

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3. Question 2 · part a · 1 mark · Working and answer

Working and answer

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4. Question 2 · part e · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

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2 *TUI* has employees throughout the world. Some are employed to greet customers arriving at their holiday destination by air, rail or road. Others sell trips and excursions to customers once they reach their holiday destination. *TUI* prides itself on looking after all its employees and making sure that their needs are met.

(a) State **one** possible reason why *TUI* would want to keep its customers loyal.

(1)

(b) State **one** reason why *TUI* would employ casual employees.

(1)

(c) Explain **one** reason why businesses employ people with disabilities.

(3)

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4. Question 2 · part e · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

(d) Explain **one** benefit to a business of having a short chain of command.

(3)

(e) Explain **one** important piece of information that should be included in a job advertisement in a newspaper.

(3)

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4. Question 2 · part e · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

The travel market that *TUI* operates in is very competitive, with many different businesses offering the same holidays at the same venues. When *TUI* introduces a new holiday or experience it has to consider the pricing strategy it will use. For its new holiday destination in Sri Lanka it is considering two options:

Option 1: competition pricing

Option 2: promotional pricing.

(f) Justify which **one** of these two options *TUI* should choose.

(9)

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4. Question 2 · part e · 3 marks · Working and answer

Working and answer

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5. Question 3 · part b · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

3 (a) Define the term **just-in-time (JIT)**.

(1)

(b) Outline **one** reason why *Rabanne* uses different methods to advertise job vacancies.

(2)

Figure 2 shows the current assets for *Rabanne* in 2021 and 2022.

Year	Current Assets
2021	$8 527
2022	$5 952

Figure 2

(c) Calculate, to two decimal places, the percentage decrease in current assets. You are advised to show your working.

(2)

..... %

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5. Question 3 · part b · 2 marks · Working and answer

Working and answer

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6. Question 3 · part d · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Define the term **share capital.**

(1)

(b) Outline how *CCT* could use quantitative research data to improve its service.

(2)

Figure 2 is an extract from the statement of comprehensive income from a *CCT* competitor.

	CYN
Revenue	85 000
Cost of sales	13 500
Gross profit	71 500

Figure 2

(c) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

.....%

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6. Question 3 · part d · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

CCT wants to extend its services by offering family tour holidays and team-building days for businesses. It plans to recruit an external Marketing Manager to promote these new services.

(d) Analyse the possible effects on *CCT* of recruiting externally.

(6)

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6. Question 3 · part d · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

Feedback from some customers suggested they became tired during the bicycle tours. To overcome this problem *CCT* is planning to purchase electric bicycles.

To fund the cost of purchasing the electric bicycles, *CCT* is considering two options:

Option 1: selling assets

Option 2: retained profit.

(e) Justify which **one** of these two options *CCT* should choose.

(9)

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6. Question 3 · part d · 6 marks · Working and answer

Working and answer

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7. Question 3 · part d · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

3 *Starbucks* continues to increase the number of coffee shops it is opening throughout the world.

(a) Define the term **crowdfunding**.

(1)

(b) Outline **one** reason why the proximity of labour is important to *Starbucks*.

(2)

Starbucks US employees are paid a salary of $21 000 a year. In Germany its employees are paid the same salary but in euros (€).

The exchange rate is $1 = €0.91

(c) Calculate the salary of a *Starbucks* employee in Germany in euros. You are advised to show your working.

(2)

€.....

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7. Question 3 · part d · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

(d) Analyse why *Starbucks* wants to promote its existing employees.

(6)

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Turn over

7. Question 3 · part d · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

Starbucks is continually looking at different locations to open its new coffee shops.
It is considering the following two options:

Option 1: open coffee shops in supermarkets

Option 2: open coffee shops in hospitals.

(e) Justify which **one** of these two options *Starbucks* should choose.

(9)

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7. Question 3 · part d · 6 marks · Working and answer

Working and answer

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8. Question 3 · part e · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

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3 *Kraft Heinz* has set itself many targets to reach before 2025. These include reducing its impact on the environment and improving its use of robotic technology for production. It is hoped that these targets will lower the impact *Kraft Heinz* production has on the environment by reducing its waste and greenhouse gases that contribute to global warming.

(a) Define the term **public limited company**.

(1)

(b) Outline **one** impact that will come from *Kraft Heinz*'s use of robotic technology.

(2)

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8. Question 3 · part e · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

Figure 2 shows the amount of waste to landfill for *Kraft Heinz* from 2019 to 2021.

	Landfill (metric tons)
2019	100,595
2020	92,856
2021	82,617

Figure 2

(c) Calculate the decrease in waste to landfill in metric tons for *Kraft Heinz* from 2019 to 2021. You are advised to show your working.

(2)

..... metric tons

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8. Question 3 · part e · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

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(d) Analyse how *Kraft Heinz* could benefit from reducing its waste.

(6)

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8. Question 3 · part e · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

Kraft Heinz will need to recruit more managers to take responsibility for new production lines. It is considering two options:

Option 1: promote existing employees

Option 2: advertise managerial positions externally.

(e) Justify which **one** of these two options *Kraft Heinz* should choose.

(9)

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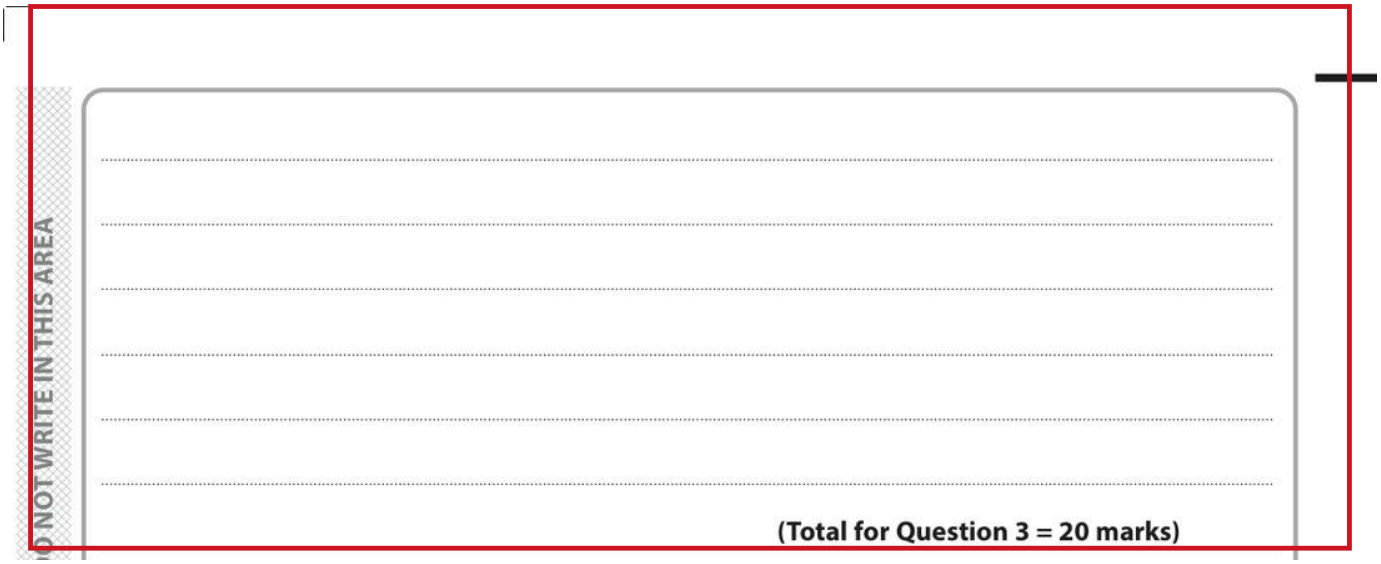
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8. Question 3 · part e · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.



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8. Question 3 · part e · 9 marks · Working and answer

Working and answer

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9. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

3 *Premier Inn* employees play an important part in the running of its hotels and providing a good service. If they provide a good service, it means guests may return.

(a) Define the term **net cash flow**.

(1)

(b) Outline **one** possible reason why prospective employees at *Premier Inn* complete an application form.

(2)

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Employees of *Premier Inn* earn £15.27 per hour when working overtime.

(c) Calculate, to two decimal places, what an employee would earn if they worked six hours of overtime. You are advised to show your working.

(2)

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9. Question 3 · part e · 9 marks

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Further practice · Attempt part e only.

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(d) Analyse the benefits for *Premier Inn* of motivating its employees.

(6)

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9. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

Premier Inn has employees across the world. When a new position becomes available, *Premier Inn* must make sure that the recruitment method used is the correct one for the vacant position. It is considering the following two options:

Option 1: internal recruitment from within *Premier Inn* hotels around the world

Option 2: external recruitment, by using an employment agency.

(e) Justify which **one** of these two options *Premier Inn* should choose.

(9)

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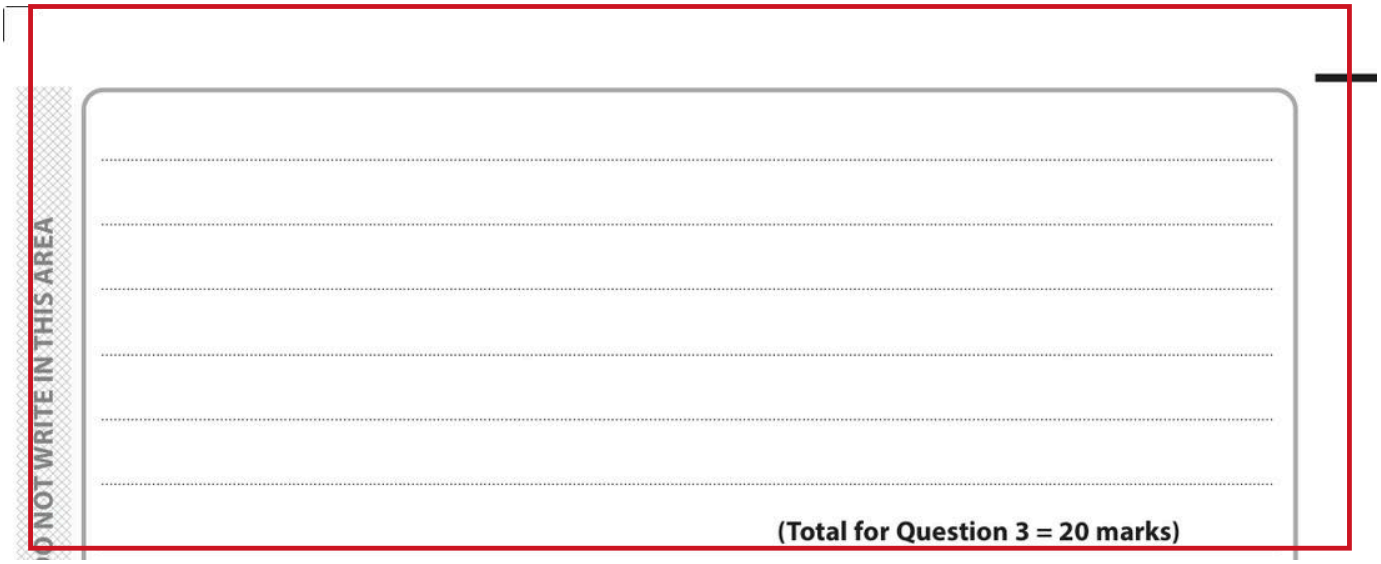
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9. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.



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9. Question 3 · part e · 9 marks · Working and answer

Working and answer

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